



## THE AURUM CENTURY CLUB

*presents*

MEMBER FAQ

# Common *questions.*

*Plain-language answers to the questions members commonly raise. Read alongside the AURUM Century Club Package and — once invited — the Private Placement Memorandum.*

*This document is informational and is not legal, tax, or investment advice. Korean residents should engage qualified Korean tax / FX counsel prior to subscription.*

| MIN                                  | SEATS                                    | TERM                                             | CLOSE                                   |
|--------------------------------------|------------------------------------------|--------------------------------------------------|-----------------------------------------|
| <b>1 kg</b><br><i>at first close</i> | <b>100</b><br><i>the founding cohort</i> | <b>5–7 yr</b><br><i>LP-consent for extension</i> | <b>Q3 '26</b><br><i>inaugural close</i> |

# Regulatory — *what you file.*

*What subscribing changes — and what stays your obligation as a Korean resident.*

## *I.* Will subscribing to the Fund *trigger Korean tax or regulatory reporting*?

Korean residents subscribing to offshore funds are subject to various Korean regulatory and tax reporting obligations, the specifics of which depend on the Member's individual circumstances. Your qualified Korean tax / FX counsel will advise on (a) initial remittance reporting, (b) annual overseas-account reporting, (c) tax treatment of distributions, and (d) AML / source-of-funds review at your Korean bank.

*Aurum does not provide Korean tax or regulatory advice.* The Fund supplies standardised annual documentation supporting your counsel's preparation of the relevant Korean filings.

## *II.* Do I need a *Korean attorney* before I subscribe?

Yes. Engage qualified Korean tax / FX counsel with international tax and FX practices and experience in Korean LP participation in offshore funds. Your counsel will handle the relevant Korean filings at subscription, on an ongoing basis, and on distributions.

*Aurum is not Korean tax counsel* — we provide structural documentation; your counsel handles your Korean filings and advice.

## *III.* What does the Fund *do for me*, and what stays my obligation as a Korean resident?

The Fund consolidates Singapore-side fund administration into a single subscription. After subscription, individual deal-level activity occurs inside the Singapore VCC; you are not party to underlying deal documentation.

What stays your obligation as a Korean resident: *annual overseas-account reporting, Korean tax on distributions*, and your designated Korean foreign exchange bank relationship. Your Korean counsel will advise on the specifics.

# Structure — *how it works.*

*The credit line, the gold, and the protections that sit underneath.*

## IV. What if I just *hold gold in Singapore* without subscribing?

You will likely still trigger Korean regulatory and tax reporting obligations on remittance and on holding gold through a Singapore financial institution. The specifics depend on individual circumstances and your Korean counsel will advise.

Holding the gold without subscribing does not change the Korean reporting framework that applies to offshore asset ownership — it simply removes the Member's access to the pre-IPO and private credit positions the Fund sources.

## V. How does the *bank credit line* work, and what happens if gold price falls?

Your bar serves as collateral for a Singapore institutional bank credit facility. The credit deploys into the fund's deal book. The bank monitors loan-to-value continuously, with a margin call at 80% LTV. Aurum's headline LTV is up to 75% per LP agreement parameters, sized to commitment level — leaving meaningful headroom before the bank's threshold.

If gold falls materially, the fund operates a *20% Fund-level cash reserve* that is applied first to reduce loan principal, restoring effective LTV before the bank's threshold is approached. The reserve mechanism, including replenishment after deployment, is described in the question that follows.

## VI. Could I be asked to *commit additional capital* after subscription?

*Yes — under conditions to be specified in the LP agreement.* The 20% Fund-level cash reserve is a *working buffer*, not unlimited capital. After the reserve is deployed — whether to pay down loan principal during a gold drawdown, or to acquire additional gold at distressed prices — it is replenished through a *pro-rata capital call* applied to existing Members.

Members participate pro-rata in any trough-acquired gold, so the call is structured as a further investment, not as a loss recovery. *The cap on aggregate capital-call exposure per Member, the notice period, and the maximum frequency will be specified in the LP agreement, which is in preparation.* Members should expect the possibility of capital calls during material gold-market drawdowns and review the finalized LP agreement before subscription to confirm the limits applicable to capital calls.

For full mechanism and reserve deployment thresholds, see the Structural Memo §6 (Drawdown protection).

# Terms — *what to expect.*

*Commitment size, holding period, and what the fund targets.*

## VII. Where does my *gold actually sit*, and is it safe?

At a Singapore Freeport bullion custodian. Your bars are *LBMA-grade, serial-identified, allocated and segregated* in your name. Storage is insured under the custodian's standard insurance programme. The custody is independent of Aurum's operational entities — in an Aurum insolvency, your bars are not affected and you retain direct claim on them.

## VIII. What is the *minimum to participate*?

The minimum is *1 kg of LBMA-grade physical gold* at first close — approximately \$150K USD at gold spot near \$4,720/oz. Members may subscribe at higher commitment levels; LTV access scales with commitment.

The Founding 100 is a *single-tier cohort* — 100 seats, by invitation. Each subscription occupies one seat, regardless of commitment size.

# Procurement — *wire to vault.*

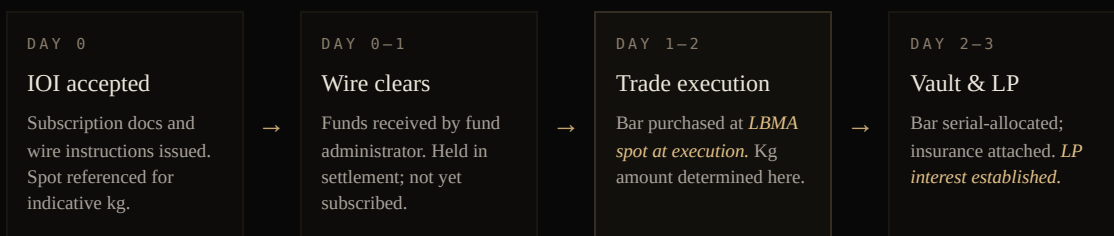
*How USD wire becomes allocated kilograms — and what spot price applies.*

## IX. What gold price *determines my allocation* — the day I subscribe, or the day my wire arrives?

Your allocated kilogram amount is determined at the *LBMA spot price at the time the fund executes the bar purchase*, not at the IOI submission price. The fund targets execution promptly following wire clearance, subject to market conditions and dealer availability.

Between IOI submission and trade execution, gold spot may move. *Spot movement in this window is borne by the member*, with the corresponding effect on kilogram allocation. The fund does not commit to a fixed kilogram amount at the IOI stage; commitment is to the wired USD amount, and the kilogram allocation follows from the execution price.

### SUBSCRIPTION SEQUENCE · WIRE TO VAULT



### WORKED EXAMPLE · \$200,000 WIRE · IOI SPOT \$4,720/OZ · ILLUSTRATIVE

| SPOT AT EXECUTION | ALLOCATED KG | MEMBER OUTCOME                          |
|-------------------|--------------|-----------------------------------------|
| \$4,720 (flat)    | 1.317 kg     | <i>As expected at IOI</i>               |
| \$4,815 (+2.0%)   | 1.291 kg     | <i>Slightly less gold for same wire</i> |
| \$4,625 (-2.0%)   | 1.345 kg     | <i>Slightly more gold for same wire</i> |

*Conversion: 1 kg = 32.1507 troy oz · figures rounded · spot is illustrative*

Practical note: members are advised to coordinate wire timing with their designated Korean foreign exchange bank, which may require advance notice for outbound capital transactions. Detailed sequencing and pricing reference are set in the subscription documents.

# Terms — *continued.*

*Holding period and target outcomes.*

## **X.** How long is my capital *committed*?

The fund term is *5–7 years*. Aurum cannot unilaterally extend — extensions beyond the base term require LP consent. Your LP interest is illiquid during the term, though secondary market exits may be considered case by case. You should commit only capital you can hold for the full term.

## **XI.** What returns is the fund *targeting*, and what could go wrong?

Target net IRR is approximately *15% in the base case*, with upside ranges of 18–25% depending on deal mix. *These are targets reflecting the Manager's modeled outcomes based on stated assumptions for gold appreciation, credit-sleeve yield, and equity-sleeve outcomes; they are not guarantees, and the structure is a newly launched fund vehicle for which prior performance is not indicative.*

Principal risks: gold price decline reducing LTV headroom, private credit defaults, pre-IPO liquidity delays, SORA rate movements compressing spread, and operational risk in early fund life. These are detailed in the Risk Framework section of the Structural Memo and in full in the PPM.

# The path — *where to start.*

*What Aurum delivers each year, and how to begin a structured conversation.*

## *XII.* What documentation does Aurum *provide each year* to support my Korean tax counsel?

Aurum provides *standardised annual documentation*:

- A *K-1 equivalent* for tax filing
- An annual *position summary* with cost-basis support
- *Bar custody and insurance certificates*
- *LP letter and PPM updates*
- *Audited fund financials* (post first close)

Your Korean tax counsel uses these documents to prepare the relevant Korean filings and capital gains return. The standardised format reduces the documentation work required from your counsel each year.

## WHERE TO START

### FOUR STEPS · ONE CONVERSATION

### BY INVITATION

#### *I.*

##### INDICATE

Submit a *brief inquiry* through the Aurum Century Club.

#### *II.*

##### NDA

Sign the NDA. Receive the *full memo* and access to the two opening positions.

#### *III.*

##### IOI

Indicate your *commitment* ahead of close.

#### *IV.*

##### ADMITTED

Partner approval. *Seat reserved*. Onboarding begins.

### THREE PLACES TO BEGIN

*First, engage qualified Korean tax / FX counsel and share the Century Club Package and the Structural Memo with them. Second, request the full PPM from Aurum. Third, schedule a direct conversation with the partners — most member questions are best answered in conversation, not on paper.*



QUIETLY • FOREVER

# For the *founding group*.

*The opening book closes upon reaching capacity — Inaugural Close Q3 MMXXVI. A counted set of seats. Held until close.*

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